For the December quarter alone, the “earnings per share” are given as $1.58 in 1970 against $1.56 in 1969.

The investor or speculator interested in ALCOA shares, reading those figures, might say to himself: “Not so bad. I knew that 1970 was a recession year in aluminum. But the fourth quarter shows a gain over 1969, with earnings at the rate of $6.32 per year. Let me see. The stock is selling at 62. Why, that’s less than ten times earnings. That makes it look pretty cheap, compared with 16 times for International Nickel, etc., etc.”

But if our investor-speculator friend had bothered to read all the material in the footnote, he would have found that instead of one figure of earnings per share for the year 1970 there were actually *four,* viz.:

| | 1970 | 1969 |
|---|---|---|
| Primary earnings | $5.20 | $5.58 |
| Net income (after special charges) | 4.32 | 5.58 |
| Fully diluted, before special charges | 5.01 | 5.35 |
| Fully diluted, after special charges | 4.19 | 5.35 |

For the fourth quarter alone only two figures are given:

| | | |
|---|---|---|
| Primary earnings | $1.58 | $1.56 |
| Net income (after special charges) | .70 | 1.56 |

What do all these additional earnings mean? Which earnings are true earnings for the year and the December quarter? If the latter should be taken at 70 cents—the net income after special charges—the annual rate would be $2.80 instead of $6.32, and the price 62 would be “22 times earnings,” instead of the 10 times we started with.

Part of the question as to the “true earnings” of ALCOA can be answered quite easily. The reduction from $5.20 to $5.01, to allow for the effects of “dilution,” is clearly called for. ALCOA has a large bond issue convertible into common stock; to calculate the “earning power” of the common, based on the 1970 results, it must be assumed that the conversion privilege will be exercised if it should prove profitable to the bondholders to do so. The amount involved in the ALCOA picture is relatively small, and hardly deserves detailed comment. But in other cases, making